In both IPO and FPO, the issuer usually does not directly issue the security. The issuer appoints any one **Merchant banker** on behalf of it to carryout fund raising activities. The merchant banker issues the application to investors and receives the application and money from investors. It sends the applications and money to issuer for allocation of shares to applied investors.

The issuer can issue to the extent of Authorised capital. **Authorised capital** means the maximum amount authorised by Memorandum of Association (MoA) of a company that can be raised by the company. A company necessarily need not issue shares to the extent of authorised capital. It can issue less than the authorised capital. The actual amount issued by the issuer is called **Issued capital.**

After the company issues shares, the public subscribe (apply) to the shares. The subscription sometimes may be more than issued capital. If it is so, it means it is oversubscribed. The subscription sometimes may be less than issued capital. If it is so then it means it is undersubscribed. The actual amount subscribed is called **Subscribed capital**.

In the case of over subscription, the company allots shares to the subscriber based on some criteria. Usually, the small investors get preference. In this case the company can allot shares only to the extent of issued capital. In the case of under subscription, the company allots shares to all those who have applied. The remaining shares are purchased by underwriter. **Underwriter** means a financial intermediary who agrees to purchase the unsubscribed portion of issued capital.

The company usually collects the subscribed capital in installments. The portion of money demanded (called) from subscriber is known as **Called up capital**. The amount actually paid by subscribers when the money is demanded by issuer is known as **Paid up capital**.

Usually, the issuer does not demand thewhole amount from subscriber. A small portion of money is left un-demanded (uncalled).